

When are Public Private Partnerships (PPP) a good idea?

Public Private Partnerships (PPPs) are arrangements in which the public sector (usually government) partners with private sector suppliers/providers to finance, build, and operate infrastructure or deliver public services. PPPs can cover sectors such as transport, health, education, water, and others.

Under a PPP, the private sector may design, build, finance, operate, and/or maintain a public asset or service for a specified period. In return, the government typically pays the private partner, or allows them to charge users, according to agreed performance and service standards.

Since the government remains ultimately responsible for the provision of public services. If a PPP supplier/provider goes out of business, the government must step in to finish off what they have been building and maintain service continuity. This means the government still carries much of the risk, even if it appears to be “off the books” during the PPP contract period. This risk needs to be considered and effectively managed when thinking about setting up PPP contracts. See *When to Include an 'Assist' plus an 'Assess' Mode in Contracting Checklist (E7)*.

This Public Private Partnership (PPP) Suitability Checklist (E10) is designed to assist in working out when a PPP scheme is appropriate.